Oklahoma Enterprise Technology and Market Intelligence Report

Strategic Analysis for FY2026-FY2027

March 5, 2026

1. Executive Summary & Macro Landscape

The State of Oklahoma is currently navigating a period of profound structural, fiscal, and technological transition, driven by an executive mandate to fundamentally alter the size and scope of state government. Operating under a strictly conservative fiscal philosophy, the political and economic climate is defined by an aggressive push toward maximizing operational efficiency, reducing the physical footprint of state agencies, and lowering the tax burden on citizens and corporations.[1] As the state progresses through the latter half of the 2026 fiscal year and prepares for the enactment of the FY 2027 budget, the overarching administrative goal is encapsulated in Governor Kevin Stitt's stated vision to solidify Oklahoma as the most business-friendly state in the nation.[1]

This economic development strategy is accompanied by a paradoxical operational mandate for state agencies: maintain or actively improve public service delivery while operating under flat or reduced base appropriations. The state has executed consecutive years of tax reductions, including the complete elimination of the state portion of the grocery tax and ongoing efforts to implement a "half and a path" strategy—a half-point cut to individual and business income taxes with a legislative pathway to zero.[1] Consequently, base recurring revenues are flattening, and the purchasing power of the state budget, when adjusted for inflation and population growth, has decreased by nearly 12% compared to the year 2000.[2]

To bridge the widening gap between shrinking general revenue authorizations and the rising demands of citizen services, Oklahoma has turned decisively toward enterprise technology modernization.[1] Advanced technology—specifically artificial intelligence, cloud consumption models, and advanced data governance—is no longer viewed merely as an IT upgrade; it is viewed as the primary mechanism for achieving the state's political and economic objectives. This philosophy is most explicitly evidenced by the creation of the Oklahoma Division of Government Efficiency (DOGE-OK), an executive initiative tasked with leveraging technology to eliminate redundant government positions, streamline procurement workflows, and reclaim thousands of labor hours.[3]

For enterprise technology providers, Oklahoma's current landscape presents a highly lucrative but politically complex market. The state's technological momentum is guided by the Office of Management and Enterprise Services (OMES) and a newly appointed cadre of state IT leadership, who have published a comprehensive 2026-2028 Information Technology Strategic Plan.[7] The plan's core pillars—Promote Customer Centricity, Make Complexity Invisible, Empower a Future-Ready Workforce, and Modernize with Purpose and Precision—signal a definitive shift away from legacy, capital-heavy infrastructure toward secure, cloud-native, and automated platforms.[7]

However, the political climate surrounding IT procurement is currently volatile. Persistent agency dissatisfaction with centralized IT service delivery, opaque chargeback models, and unmet service level agreements (SLAs) has triggered severe legislative scrutiny.[10]

Groundbreaking legislative efforts, specifically the State Government Modernization Act of 2026 (House Bill 4129), threaten to dismantle the current OMES structure entirely, potentially spinning off a standalone Office of Strategic Technology Solutions.[12]

Consequently, the most successful technology interventions in Oklahoma will be those that directly address the state's technical debt while aligning with the legislative demand for absolute cost transparency and operational flexibility. Vendors must navigate a landscape where financial purchasing power is heavily scrutinized by legislative oversight committees, while technical influence is increasingly distributed among C-suite IT leaders focused on AI integration, zero-trust cybersecurity, and hybrid cloud architectures.

2. Organization of the Power Structure & Key Stakeholders

Understanding the bifurcated nature of Oklahoma's power structure is critical for strategic account positioning. Financial purchasing power is tightly controlled by a fiscally conservative legislature and executive branch, while technical influence is driven by a recently overhauled IT leadership team within OMES and highly influential directors at the agency level.

Elected Leadership and Financial Influence

At the executive level, Governor Kevin Stitt heavily dictates the overarching financial posture of the state. His 2026 legislative agenda emphasizes flat budgets, the protection of state savings, the creation of a Taxpayer Endowment Fund to accelerate income tax relief, and the deportation of undocumented immigrants to reduce state correctional costs.[1] To enforce this fiscal discipline, the Governor has empowered DOGE-OK, led by private-sector advisors, to identify off-contract spending, consolidate real estate, and forcefully reduce the state employee headcount back to 2019 levels.[4]

Legislative control over appropriations is held by a few key committee chairs who demand rigorous, data-driven justification for any technology capital expenditures (CapEx). The ultimate gatekeepers for agency funding requests are the chairs of the joint and standing appropriations committees. Furthermore, specific legislators have emerged as critical figures in shaping state IT policy through modernization bills.

Legislative Leader	Role / Committee	Strategic Posture & Influence
Sen. Chuck Hall	Chair, Senate Appropriations Committee	Controls the flow of Senate funding authorizations. Heavily scrutinizes ongoing operational costs versus one-time capital investments.[16]
Rep. Trey Caldwell	Chair, House Appropriations & Budget	Co-chairs the Joint Committee on Appropriations and Budget. Acts as the primary hurdle for agency supplemental funding requests.[17]
Rep. Scott Fetgatter	Author, HB 4129	Primary architect of the State Government Modernization Act of 2026, seeking to reorganize OMES and create a standalone IT agency.[12]
Sen. David Bullard	Author, SB 179	Fierce critic of OMES centralized billing. Authored legislation to completely decentralize IT and return purchasing power to individual agencies.[20]
Sen. Julia Kirt	Member, LOFT Oversight Committee	Vocal critic of agency financial mismanagement. Utilizes LOFT audits to expose opaque IT billing and demand structural accountability.[11]

The Legislative Office of Fiscal Transparency (LOFT) serves as the investigative and auditing arm of the legislature. LOFT's recent audits of OMES and the Department of Mental Health and Substance Abuse Services (ODMHSAS) have exposed significant budgeting failures, mismanaged funds, and opaque IT billing practices.[10] As a result, any large-scale technology acquisition must now withstand the intense scrutiny of LOFT oversight, making predictable, consumption-based IT financial models highly attractive to these stakeholders.

IT Leadership and Technical Influence

In late 2024 and early 2025, Oklahoma completely restructured its central IT leadership under OMES, bringing in executives with heavy private-sector and specialized public-sector

experience. This team holds the primary technical influence over statewide architectural standards, vendor selection, and strategic roadmaps.

Executive Title	Leader	Background & Strategic Focus
State Chief Information Officer (CIO)	Dan Cronin	Appointed Jan 2025. Former VP of Engineering at Marriott International and Allstate. Focuses on cloud strategies, FinOps, cost optimization, and enterprise observability. Drives the 2026-2028 IT Strategic Plan.[24]
Chief AI and Technology Officer (CAITO)	Tai Phan	Appointed late 2025. Leads the BEACON AI Playbook. Focuses on responsible AI adoption, automation, and "trust by design" to streamline government workflows.[26]
Chief Information Security Officer (CISO)	Daniel Langley	Appointed late 2025. Former Deputy CISO for Washington State (WaTech) and US Army veteran. Focuses on zero-trust architectures, threat intelligence, and managing StateRAMP compliance.[28]
State Chief Financial Officer	Aaron Morris	Appointed Jan 2025. Former CFO of the Oklahoma Health Care Authority (OHCA). Manages the intricate funding streams and IT chargeback models within OMES.[30]
Interim OMES Director	Mark Wood	Appointed Dec 2025. Former Chairman of the Oklahoma Tax Commission with 37 years of public accounting experience (Ernst & Young). Tasked with stabilizing OMES financial structures amid legislative threats.[31]
Director of Data and AI	Rene Page	Appointed late 2025. Reports to CAITO Tai Phan. Former leadership at Lowe's and US Foods. Focuses on data engineering, analytics, and scaling state AI initiatives.[32]

Agency-Level Technical Influencers

While OMES dictates enterprise standards, massive agencies with unique compliance requirements, federal funding streams, and vast operational mandates maintain substantial autonomy and influence over their localized IT environments.

- **Steven Harpe (Executive Director, Department of Corrections):** Uniquely influential because he formerly served as the Director of OMES and State COO. Harpe operates with significant autonomy and is aggressively pushing frontier technologies, such as AI-powered autonomous drones (Skydio) for perimeter security and digital biometric kiosks for staff.[34]
- **Stephen Miller (Chief Technology Officer, Oklahoma Health Care Authority):** Leads the massive "Project NEXUS" Medicaid Enterprise Systems Modernization, focusing on interoperability, data exchange, AI integration, and Centers for Medicare & Medicaid Services (CMS) compliance.[36]
- **Tim Gatz (Executive Director, Department of Transportation):** Oversees a multi-billion dollar infrastructure portfolio and is driving ODOT's "Digital Delivery" initiative to modernize data sharing, intelligent transportation systems (ITS), and lifecycle asset management.[38]
- **Tim Tipton (Commissioner, Department of Public Safety):** Manages the state's law enforcement technology apparatus, specifically the Oklahoma Law Enforcement Telecommunications System (OLETS), driving modernization efforts to comply with stringent federal CJIS security policies.[40]

There is a distinct, ongoing tension between OMES, which seeks to standardize, consolidate, and control the IT environment, and the large agencies, which demand specialized, high-performance solutions tailored to their unique missions. Technology providers must thread the needle by aligning architectural designs with CIO Dan Cronin's enterprise standards, while simultaneously solving the highly specific operational pain points of leaders like Harpe, Miller, and Gatz to secure agency-level funding and advocacy.

3. IT Governance & Service Delivery Model

The State of Oklahoma's IT operating model is currently in a state of severe flux, transitioning from a rigidly Consolidated model toward what will likely become a heavily restructured, hybrid Federated approach dictated by pending legislation.

The Current State: Mandated Consolidation

Under the Information Technology Consolidation and Coordination Act (HB 1304), passed over a decade ago, Oklahoma mandated the consolidation of IT personnel, hardware, networks, and budgets from over 110 state agencies into OMES Information Services (IS).[42] Statutorily, OMES serves as the central owner of all IT and telecommunications assets, acting as the data custodian while agencies retain underlying data ownership.[43] This unification effort successfully

reduced duplicative email systems, consolidated physical data centers into the Tier 3 Lincoln Data Center, and theoretically saved the state millions in cost avoidance during its initial phases.[42]

Friction Points and the Chargeback Crisis

However, the centralized delivery model has generated extreme operational and political friction over the past several years. OMES operates on a complex chargeback model, billing agencies monthly in arrears for consumed services based on a published IT Service Catalog.[45] Agencies are charged line-item fees for everything from network ports and virtual machines to hourly consulting rates for technicians.[46]

This chargeback mechanism has become a massive political liability. Agency directors have routinely complained to the legislature that OMES service rates are inflated, service level agreements (SLAs) are consistently not met, and the centralized bureaucracy stifles rapid application modernization. These agency-level complaints were validated by a scathing audit conducted by the Legislative Office of Fiscal Transparency (LOFT). The LOFT report heavily criticized OMES for poor budgeting practices, a lack of financial clarity, and failing to provide Master Service Agreements to agencies sufficiently in advance of their annual budget submittals.[10] The report specifically recommended the establishment of financial penalties or dispute resolution mechanisms for OMES when IT service level expectations to partner agencies are not met.[10]

The Legislative Backlash: Decentralization Efforts

The friction surrounding centralized IT delivery has culminated in aggressive legislative attempts to dismantle the OMES monopoly during the 2025 and 2026 sessions.

1. **Senate Bill 179 (Sen. Bullard):** This bill attempted to completely reverse IT consolidation, directing all state agencies to manage their own IT services independently, leaving only high-level cybersecurity oversight to OMES.[3] OMES fiercely fought the bill, issuing a fiscal impact statement claiming decentralization would require 600 new agency employees and cost up to $1.7 billion over five years—figures Sen. Bullard publicly decried as "scare tactics" and "misleading financial estimates" designed to protect the OMES bureaucracy.[21]
2. **House Bill 4129 (State Government Modernization Act of 2026):** Authored by Rep. Fetgatter, this legislation represents a more structured, likely successful compromise. It seeks to strip the Information Services Division out of OMES entirely, establishing a standalone "Office of Strategic Technology Solutions" managed directly by the State CIO.[12] This move aims to insulate IT operations from the broader facilities, fleet, and HR bureaucracy of OMES, ostensibly to improve service delivery, clarify financial reporting, and focus purely on statewide technology strategy rather than facility management.[48]

For IT vendors, this governance turmoil implies that procurement cycles may experience delays

as the legislature reallocates authority and restructures the billing apparatus. However, it also creates a massive strategic opportunity. Agencies are desperate for IT solutions that provide clear, predictable costs that bypass opaque OMES hardware chargebacks. This makes consumption-based, as-a-Service infrastructure models highly appealing to both agency directors and legislative auditors. Furthermore, if HB 4129 succeeds, the newly formed Office of Strategic Technology Solutions will immediately seek fast, highly visible modernization wins to prove its efficacy and financial transparency to the legislature.

4. Financials & Budget Breakdown

Oklahoma's financial posture is characterized by robust, constitutionally protected cash reserves but a tightening operational belt for state agencies. Due to consecutive years of aggressive tax cuts, the base revenue available for recurring appropriation is flattening, forcing the state to rely heavily on supplemental funds, targeted capital accounts, and federal grants for net-new technological investments.

Total Operating and Capital Budgets

- **Current Fiscal Year (FY 2026):** The enacted FY26 budget authorized $12.08 billion in core spending.[2] While this represents a large nominal figure, when adjusted for inflation and population growth, the state's purchasing power has decreased by nearly 12% compared to two decades ago.[2] The budget was supplemented by an additional $783.5 million in one-time funding for specific capital and infrastructure projects to offset the lack of base operational growth.[2]
- **Upcoming Fiscal Year (FY 2027 - Proposed):** Governor Stitt's proposed FY27 Executive Budget totals $11.75 billion, a 6.7% decrease from the FY26 baseline.[15] This reduction reflects a concerted executive effort to limit the size of government and prepare for the long-term impact of the grocery tax elimination. The State Board of Equalization subsequently authorized a maximum of $12.17 billion in appropriation authority, which is still $571 million less than lawmakers had available in the prior year.[49]
- **State Savings:** Despite the tightening operational budget, the state maintains exceptional liquidity. Oklahoma projects to hold roughly $4.4 billion to $4.6 billion in total reserves (including the Constitutional Reserve "Rainy Day" Fund and the Revenue Stabilization Fund) by the end of FY26.[50] However, the legislature strongly prefers to protect these funds as a buffer against volatile oil and gas revenues, rather than utilize them for ongoing IT operational expenses.

IT Allocation: O&M vs. Project/Capital Spend

The OMES budgeting strategy is undergoing a deliberate pivot, driven by the realities of flat operational funding. The 2026-2028 IT Strategic Plan explicitly states the goal of decreasing technical debt and capital expenditures (CapEx) by migrating systems to cloud providers and

shifting to an operational expenditure (OpEx) consumption model.[52]

Because OMES acts as a centralized pass-through entity, its internal agency budget is relatively small, but it controls hundreds of millions in agency IT chargebacks. The state actively differentiates between maintaining legacy infrastructure (O&M) and net-new capital investments. To fund capital IT projects without burdening agency operational budgets, the state utilizes specific legislatively approved mechanisms:

Capital Funding Mechanism	Purpose & Allocation
Legacy Capital Fund (LCF)	A cash fund designed to self-finance capital projects without incurring bond interest. Used heavily for physical data center maintenance and large-scale facility IT upgrades.[2]
Oklahoma Capital Asset Maintenance Preservation (OCAMP)	Provides ongoing revenue sources for deferred maintenance across the state enterprise. The Long-Range Capital Planning Commission recommended $111 million in FY26 and $112 million in FY27 from this and related funds for state projects.[54]
FMAP Rate Preservation Fund	Holds approximately $535 million to offset changes in federal Medicaid matching rates, indirectly securing the operational budget for the Oklahoma Health Care Authority's IT modernization efforts.[2]

Grants and Federal Funding Influx

Federal dollars are the primary catalyst for large-scale IT modernization in Oklahoma, effectively circumventing the state's tight general revenue constraints. State agencies are highly dependent on these influxes to execute transformative technology projects.

- **State and Local Cybersecurity Grant Program (SLCGP):** Oklahoma is aggressively leveraging the federal SLCGP to harden its infrastructure against escalating threats. Administered by the Oklahoma Office of Homeland Security (OKOHS) and the Cybersecurity Planning Committee, the state receives millions annually from this $1 billion national program.[55] Crucially, the FY25 and FY26 iterations of this grant require a substantial 40% cost-share match from sub-recipients (state agencies, local governments, and schools).[57] This steep match requirement drives the state to seek

highly cost-effective, proven cyber investments in four priority areas: Planning, Assessments, Monitoring, and Training.[57]

- **Broadband Equity, Access, and Deployment (BEAD) Program:** The Oklahoma Broadband Office (OBO) is managing a massive $797.4 million BEAD allocation under the federal infrastructure bill.[59] The state's Final Proposal, pending NTIA approval, provisionally awards $550 million (paired with $198 million in ISP matching funds) to build out fiber optic, fixed wireless, and satellite infrastructure to over 34,000 unserved and underserved locations.[61] This unprecedented influx of connectivity will exponentially increase the volume of edge data generated across the state, driving massive downstream demand for data storage, security, and processing capabilities at state agencies.
- **ARPA / SLFRF:** Oklahoma fully obligated its $1.87 billion in American Rescue Plan Act State and Local Fiscal Recovery Funds, heavily prioritizing public health modernization, water infrastructure, and the initial standing up of digital citizen services.[62]

5. Strategic Initiatives & Projects

Technology investments in Oklahoma are heavily aligned with executive mandates to reduce physical headcount, simplify citizen interactions, and modernize archaic infrastructure.

Top-Level Executive Mandates

1. **DOGE-OK (Division of Government Efficiency):** Modeled after federal initiatives, Governor Stitt launched DOGE-OK via Executive Order 2025-4 to identify wasteful spending, consolidate physical and digital assets, and forcefully reduce the state workforce from 31,664 back to 2019 levels.[4] DOGE-OK has already identified $3 billion in "off-contract" shadow IT spending ripe for bulk renegotiation and consolidation.[5] Furthermore, the initiative is implementing a new AI procurement solution designed to automate repetitive tasks and save an estimated 62,000 manpower hours annually.[3]
2. **BEACON AI Playbook:** Under Chief AI and Technology Officer Tai Phan, the state introduced "BEACON" (Bridge, Educate, Align, Create, Operate, Normalize), a comprehensive AI governance and transformation framework.[33] The state is rapidly transitioning from AI theory to practical application, utilizing tools like Google Vertex AI's Agent Builder to deploy intelligent virtual agents across state websites.[63] This improves the citizen experience while directly offsetting the headcount reductions mandated by DOGE-OK. Strict governance rules apply, dictating that highly sensitive data (e.g., CJIS, HIPAA) cannot be transmitted via public AI systems, necessitating localized or secure cloud AI instances.[64]

IT-Level Core Infrastructure Modernization

1. **2026-2028 IT Strategic Plan:** CIO Dan Cronin’s roadmap focuses heavily on "Invisible Complexity" and "Purposeful Modernization." Core initiatives include migrating legacy

applications to secure, cloud-native environments, standardizing Identity and Access Management (IAM), automating high-volume processes, and developing an enterprise knowledge repository.[7]

2. **Data Center Consolidation and Hardware Refresh:** OMES continues to remediate technical debt by migrating remaining agency servers into the primary Tier 3 Lincoln Data Center.[44] Concurrent deferred maintenance projects indicate ongoing hardware refreshes, secure access control upgrades, and disaster recovery (DR) build-outs to support hybrid cloud strategies and protect against catastrophic failures.[67]
3. **Mainframe Repatriation:** The state is actively working to retire expensive, legacy COBOL-based mainframes used by agencies like the Department of Transportation and the Tax Commission. The state is migrating these critical workloads to modern virtualized x86 architectures or cloud environments, driven largely by the unsustainable cost of hardware maintenance and severe COBOL programmer attrition.[70]

Agency-Level Modernization Efforts

1. **Oklahoma Health Care Authority (OHCA) – Project NEXUS:** OHCA is executing a massive, multi-year initiative to modernize its Medicaid Enterprise System (MES).[72] Moving away from a monolithic system architecture, Project NEXUS focuses on modularity, utilizing emerging technologies to achieve CMS compliance, enhance data interoperability via an Enterprise Service Bus (ESB), and implement advanced data analytics to improve member outcomes.[36]
2. **Department of Corrections (ODOC) – AI and Edge Compute:** Executive Director Steven Harpe is aggressively integrating AI to augment a shrinking corrections workforce. ODOC has deployed autonomous Skydio drones powered by AI at the Red Rock Correctional Center to continuously monitor perimeters and detect contraband drops.[74] Furthermore, ODOC is rolling out touchless digital biometric kiosks for inmates and staff across 23 facilities to modernize HR, timekeeping, and administrative workflows, reducing physical touchpoints.[67]
3. **Department of Public Safety (DPS) – CJIS Compliance and OLETS:** DPS is modernizing the Oklahoma Law Enforcement Telecommunications System (OLETS), the central nervous system for state law enforcement. The agency is replacing legacy TN3270 mainframe interfaces with secure, RESTful web services utilizing XML to connect to national databases (Nlets).[76] This modernization is heavily driven by the urgent need to comply with the FBI's stringent CJIS Security Policy Version 6.0 (aligned with NIST 800-53 Rev 5), requiring advanced endpoint monitoring, multifactor authentication, and secure data storage.[77] Additionally, DPS is executing a $107M public safety bond package in Oklahoma City to build new facilities outfitted with modernized tech.[78]
4. **Department of Transportation (ODOT) – Digital Delivery:** Executing a $7.7 billion 8-year construction plan, ODOT is implementing "Digital Delivery" methods to improve lifecycle data exchanges, open data standards, and predictive asset management.[38] Additionally, ODOT is expanding its Intelligent Transportation Systems (ITS), deploying

sensors, dynamic message signs, and cameras statewide to improve traffic flow and security, generating massive volumes of unstructured telemetry data.[79]

6. Procurement, Vendor Landscape, & Compliance (The Operational Reality)

Selling enterprise technology into Oklahoma requires mastering its centralized contract vehicles while navigating a highly competitive landscape dominated by aggressive incumbents and complex compliance mandates.

Procurement Vehicles

Oklahoma's procurement strategy relies heavily on mandatory statewide contracts managed by OMES Central Purchasing, which generates significant savings (reporting over $179 million in FY25) by leveraging bulk purchasing power and category management.[80] Following the release of the new comprehensive Oklahoma Purchasing Manual, state procurement rules have been tightened to eliminate rogue agency spending.[31]

- **SW1020 (Computer Equipment, Peripherals, and Related Services):** This is the paramount vehicle for hardware acquisition in the state. It covers laptops, desktops, servers, storage, and software maintenance.[81]
- **SW1041 (Software Value-Added Resellers):** Utilized for software, SaaS, and software implementation services.[83]
- **Cooperative Agreements:** Oklahoma extensively utilizes NASPO ValuePoint and OMNIA Partners. Participating Addendums (PAs) for Cloud Solutions (SW1022C) and Data Communications (SW1006) allow agencies to easily procure predefined vendor catalogs without issuing independent RFPs.[84]

Note on Procurement Operations: As of late 2025, Oklahoma legally permits merchants and managed service providers (MSPs) to apply credit card surcharges (up to 4%), which impacts how state agencies process and evaluate the total cost of IT managed services and billing.[86]

Incumbents & Technical Debt

The competitive landscape is well-entrenched, particularly within the SW1020 and SW1006 portfolios.

Technology Category	Primary Incumbents / Contract	Market Dynamics & Threat Vectors
Compute & Client	Dell (SW1020D), HP (SW1020HPI), Apple (SW1020A), SHI (SW1020S)	Dell holds a massive incumbent footprint. However, DOGE-OK's mandate to reduce state headcount limits the growth of net-new endpoint sales, shifting the focus to high-margin datacenter compute.[82]
Storage & Infrastructure	Pure Storage (SW1020P), Dell (SW1020D)	Pure Storage has been highly aggressive, successfully securing a dedicated NASPO Participating Addendum. Pure actively targets legacy environments, pushing narratives around energy efficiency, AI-readiness, and Kubernetes integration.[89]
Networking & Security	Cisco (SW1006C), HPE (SW1006H), Palo Alto (SW1006P)	Deeply entrenched. OMES heavily relies on Cloudflare and Palo Alto for statewide DNS management and DDoS protection.[91]

The Technical Debt Opportunity: The state's primary technical debt lies in disparate agency silos that resisted initial unification, aging local storage area networks (SANs), and legacy mainframes supporting vital functions (like OLETS and Medicaid).[70] Crucially, DOGE-OK identified over $3 billion in off-contract, fragmented shadow IT spending, indicating a highly unoptimized hardware footprint ripe for aggressive consolidation.[5]

Compliance & Data Mandates

Compliance is the primary driver for high-end technology specifications in the state. Agencies will not purchase infrastructure that fails to meet these rigorous standards.

- **StateRAMP:** Oklahoma is a participating state in the StateRAMP program. To do business with OMES, cloud service providers and vendors handling state data must possess an Authority to Operate (ATO) from the State Cyber Command. OMES heavily favors vendors with StateRAMP Authorization, FedRAMP equivalents, or CSA CAIQ v4 certifications.[93]
- **CJIS Version 6.0:** The Department of Public Safety's technological purchases are rigidly

dictated by the new FBI CJIS v6.0 policy. This mandate requires zero-trust architectures, advanced multifactor authentication, and secure, localized data processing for all criminal justice information.[77]

- **AI Governance (BEACON):** Under the new BEACON framework, public-facing AI tools are strictly prohibited from processing sensitive HIPAA or CJIS data unless run through secure, locally hosted, or strictly siloed instances. This limits the state's ability to rely solely on hyperscaler public clouds for AI, necessitating secure on-premises AI infrastructure.[64]

7. Actionable Dell Opportunities (The "So What")

The convergence of Oklahoma's fiscal conservatism, centralized IT billing friction, and aggressive AI and modernization mandates creates distinct whitespace opportunities tailored directly to Dell Technologies' enterprise portfolio.

1. Funded Technologies: Aligning Dell Solutions with Capitalized Projects

- **APEX for IT Service Modernization and Political De-risking:** The intense legislative scrutiny resulting from the LOFT audit regarding OMES's opaque chargeback models [10] creates a prime opening for Dell APEX. By transitioning state agencies from CapEx hardware purchases to an APEX consumption-based model, Dell can provide OMES and agency CIOs with exact, predictable, and transparent billing metrics. This directly solves the political friction surrounding IT service delivery, allowing OMES (or the newly proposed Office of Strategic Technology Solutions) to prove absolute fiscal transparency to the legislature while accelerating modernization without upfront capital requests.
- **AI-Ready Infrastructure for the BEACON Initiative:** CAITO Tai Phan's mandate to deploy AI across government workflows [27] requires substantial back-end processing power. Because state policy explicitly restricts sensitive CJIS and HIPAA data from public AI models [64], agencies cannot merely default to public cloud AI services. Dell's PowerEdge XE-series servers (optimized for AI/GPU workloads) and the Dell AI Factory concept perfectly align with the state's need for localized, secure, and compliant "trust by design" AI infrastructure.
- **Lincoln Data Center Hardware Refresh:** Backed by the $111M+ deferred maintenance and capital asset funds (LCF and OCAMP) [54], OMES is actively refreshing the hardware at the Lincoln Data Center.[67] Dell must position PowerStore and PowerEdge combinations as the foundational, energy-efficient blocks for the state's private cloud and disaster recovery (DR) sites, drawing on capital maintenance funds rather than constrained agency operational budgets.

2. Underserved/Whitespace Areas: Solving Blind Spots

- **Unstructured Data Sprawl at the Edge (ODOC & ODOT):** The deployment of

autonomous Skydio drones by the Department of Corrections [74], combined with ODOT's expanding network of intelligent traffic sensors (ITS) [79] and the state's $797M BEAD broadband expansion, will generate massive amounts of unstructured video and telemetry data. Oklahoma currently lacks a unified strategy for edge data retention and analysis. Dell can capture this whitespace by positioning PowerScale (Isilon) as the premier solution for scalable, unstructured data lakes. This enables DOC and ODOT to securely store, manage, and run AI inferencing on video feeds directly at the edge, mitigating the high ingress/egress costs of public cloud storage.

- **Cybersecurity Resilience and the SLCGP Match:** With access to a portion of the $91 million in federal SLCGP funds, Oklahoma agencies must modernize their cyber posture, but they are hampered by a strict 40% cost-share requirement.[58] Dell is uniquely positioned here due to its existing success deploying PowerProtect Cyber Recovery for the state.[96] Dell should aggressively target sub-recipient agencies (cities, counties, and tier-2 state agencies) by packaging PowerProtect Data Manager and Cyber Recovery vault solutions as comprehensive, grant-eligible architectures that fulfill the SLCGP's "Monitoring" and "Assessments" objectives while providing maximum ROI for the required local match.

3. Competitive Displacement: Attacking Vulnerabilities

- **Neutralizing Pure Storage (SW1020P):** Pure Storage holds a dedicated statewide contract and actively targets legacy storage environments with messaging around AI and power efficiency.[89] Dell must counter this by leveraging its SW1020D contract vehicle and attacking Pure's perceived vulnerabilities in end-to-end holistic management. Rather than engaging in a feature-by-feature storage battle, the Dell Account Executive should elevate the conversation to the new C-suite (CIO Dan Cronin, CFO Aaron Morris), positioning Dell PowerStore as a seamlessly integrated component of a broader multi-cloud orchestration and FinOps strategy—areas Cronin specifically prioritized in his previous private-sector roles.[24]
- **Mainframe Repatriation and Technical Debt Consolidation:** DOGE-OK has identified $3 billion in off-contract, fragmented spending across state government, seeking to ruthlessly eliminate redundancy.[5] Furthermore, critical agencies like the Tax Commission and DPS are desperate to retire legacy mainframes due to COBOL programmer attrition and modernization requirements.[70] Dell can execute a major displacement strategy by partnering with global systems integrators (e.g., WWT or NTT) to propose comprehensive "rip-and-replace" architectures. By migrating legacy workloads off mainframes and onto dense, highly virtualized x86 Dell environments (VxRail or PowerEdge/PowerFlex combinations), Dell directly answers DOGE-OK's mandate for operational consolidation, footprint reduction, and the elimination of technical debt.

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